THOMAS v. NEWREZ LLC, et al.
Case No. CU26-03486

Demurrer by Defendant NEWREZ LLC, dba Shellpoint Mortgage Servicing, to Complaint

<u>TENTATIVE RULING</u>

The demurrer by NEWREZ LLC dba Shellpoint Mortgage Servicing ("SHELLPOINT") to Plaintiff's complaint is SUSTAINED WITH LEAVE TO AMEND.

Preliminarily, the court recognizes that Plaintiff attempted to amend his complaint by filing an amended complaint and by filing a motion for leave to amend. A first-amended complaint can be filed while a demurrer is pending, provided that the pleading is filed before an opposition is filed or before an opposition is due. The court recognizes Plaintiff's efforts to separately provide the exhibits referenced in the complaint that were not attached to the defense.

First Cause of Action - Real Estate Settlement Procedures Act ("RESPA")

An action for actual and possibly also statutory damages of up to $2000 can be filed against a loan servicer who fails to provide a timely written response to a proper notice of error sent to it by a borrower. (*Medrano v. Flagstar Bank, FSB* (9th Cir. 2012) 704 F.3d 661, 665.)

The goal of the Real Estate Settlement Procedures Act ("RESPA"; 12 U.S.C. § 2601 et seq.) is to allow borrowers to obtain accurate and detailed information about their loans, and protect against abusive practices and unnecessarily high charges. The request by a borrower for loan servicing information has to reasonably identify the account and provide enough for the loan servicer to know what information is being sought, or amounts being challenged. (*Id*. at 665-666.)

The "written inquiry" requirement is not met by Plaintiff's complaint, which fails to either attach the Notices of Error as referenced or adequately summarize the notices in the complaint itself in order to state a cause of action.

Further, Plaintiff does not allege actual damages. Notably, a lender's failure to respond to a notice of error does not by itself give rise to a basis for recovery. 12 C.F.R. §1024.35, the federal regulation adopted for RESPA, authorizes recovery of damages only when a loan servicer furnishes adverse information to any consumer reporting agencies regarding any payment that is the subject of a borrower's notice of error, within 60 days of receiving that notice. Importantly, it does not stop a loan servicer from instituting or even completing foreclosure proceedings.

Plaintiff's complaint does not allege that SHELLPOINT furnished adverse information to any consumer reporting agency within 60 days of its receiving any of the (insufficiently described) Notices of Error. Instead, the complaint generally alleged damages because

“Defendants initiated and continued foreclosure activity while the NOEs were pending”, and did not “acknowledge, investigate, and respond to these Notices of Error”. A pending nonjudicial foreclosure does not by itself adequately plead actual damages. (See e.g. *Wanger v. EMC Mortgage Corp* (2002) 103 Cal.App.4th 1125, 1137.) Statutory damages are not allowed absent actual damages. (See 12 U.S.C. § 2605(f)(1)(B) [“additional damages”].)

Thus, for multiple reasons, SHELLPOINT’s demurrer to the RESPA cause of action is sustained with leave to amend.

Second Cause of Action - Unfair Business Practices

Business & Professions Code §17200 defines an unfair business practice as including “any unlawful, unfair or fraudulent business act or practice”.

A claim of an unfair act or practice can be predicated on public policy, but “the public policy which is a predicate to the action must be ‘tethered’ to specific constitutional, statutory or regulatory provisions.” (*Aleksick v. 7-Eleven, Inc.* (2012) 205 Cal.App.4th 1176, 1192.)

The accurate crediting of mortgage loan payments, and the avoidance of charging unjustified late fees, would appear to be public policies promoted by RESPA.

Still, unless and until the operative complaint alleges or attaches documents to more specifically identify the unlawful or unfair business act or practice being challenged, this cause of action has not been properly plead. Further, to have standing to bring an unfair business practices cause of action, a plaintiff must allege that they lost money or property from the illegal or unfair act. Business & Professions Code §17204.

If a pending nonjudicial foreclosure is due to a default on the mortgage loan, and the default was not caused by the allegedly illegal or unfair act, the causation element for the loss of money or property is still missing. (*Jenkins v. JPMorgan Chase Bank, N.A.* (2013) 216 Cal.App.4th 497, 523, [because the plaintiffs’ home was subject to nonjudicial foreclosure because of default occurring before the defendants’ alleged wrongful acts, the defendants’ demurrer to the unfair business practices cause of action was sustained]; overruled in part, on other grounds, by *Yvanova v. New Century Mortgage Corp.* (2016) 62 Cal.4th 919, 939.)

Remedies available under an unfair business practices cause of action are limited to injunctive relief and restitution. Business & Professions Code §17203.

Plaintiff’s complaint [¶31] and prayer [¶¶1 and 2] include allegations of entitlement to injunctive relief, although the latter seek only the halting of the foreclosure activities. While the court earlier denied Plaintiff’s ex parte application for issuance of a TRO and OSC re preliminary injunction, if this case proceeds to trial before completion of the nonjudicial foreclosure, a permanent injunction is still a potential remedy.

Opportunity to Amend

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (*Id.*; *Lewis v. YouTube, LLC* (2015) 244 Cal.App.4th 118, 226.) However, "[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend." (*Youngman v. Nevada Irrigation Dist.* (1969) 70 Cal.2d 240, 245).

The court cannot find definitively that there is no possible opportunity to amend the complaint to state a cause of action. Plaintiff's opposition lists 10 possible categories of items that Plaintiff may amend.

While the missing attachments and/or lack of specificity in allegations in the complaint preclude the court from finding any valid cause of action alleged against SHELLPOINT, because of the reasonable possibility Plaintiff could amend to allege some actionable conduct by SHELLPOINT as to the crediting of mortgage payments made and the charges imposed against them, the court sustains SHELLPOINT's demurrer to Plaintiff's complaint with 30 days for Plaintiff to file a first amended complaint, to remedy these deficiencies.

Given the complexity of law in this area, and the risk that nonjudicial foreclosure will be completed before trial of this case, the court urges Plaintiff to consult legal counsel.

Department 8 is inviting you to a scheduled ZoomGov meeting.

https://solano-courts-ca-gov.zoomgov.com/j/1619704645?pwd=aUwyYUFUcU5Eazl6SEkrcmcrRnRLUT09

Meeting ID: 161 970 4645
Passcode: 675002